

High gearing



Company has more debt

High proportion of debt to equity, also described as a high degree of financial leverage. Typical examples of debt are:

- › Loans
- › Bonds



Company has less equity

Debt finance (loans)

Pros

- › If the company makes a profit, it can reap a larger proportion
- › Paying interest is tax deductible
- › Does not dilute ownership
- › Company retains control of decisions
- › Repayment is a known amount that can be planned for
- › Quicker and simpler to set up
- › Small business loans at favorable rates may be available to start-ups

Cons

- › Loan must be repaid
- › Interest must be paid, even if operating profit shrinks
- › Debt may be secured on fixed assets of company
- › Unpaid lender can seize assets and force bankruptcy
- › Lenders first to be paid in the event of insolvency
- › High gearing considered a measure of financial weakness
- › High risk may put off investors and adversely affect credit rating



NEED TO KNOW

- › **Interest cover ratio** An alternative method of calculating gearing—operating profit divided by interest payable
- › **Overleveraged** A situation in which a business has too much debt to meet interest payments on loans
- › **Deleverage** Immediate payment of any existing debt in order to reduce gearing



25%
the ratio at
or below which
a company is
traditionally
said to have
low gearing

High gearing

A water utility is the only water provider in the area, with several million customers. The ratio of 64 percent is acceptable for a utility company with a regional monopoly and a good reputation.



$$\frac{\$360 \text{ MILLION}}{(\$82 \text{ MILLION} + \$120 \text{ MILLION} + \$360 \text{ MILLION})} \times 100 = 64\%$$